

Option Contract Required Elements

While an option contract is a unilateral contract (in which one party is contractually obligated to keep the duties outlined in the contract), it is still a contract. As such, it must contain all the terms and provisions required by law for a valid contract.

These include the following:

- To be enforceable, there must be **consideration** (something of value-generally, money) given in exchange for the promises made in the contract. In this case, the optionee (buyer) must pay the consideration (option fee), usually money, to the optionor (seller). The amount of consideration must be stated in the contract. The contractual "promises" are that the optionor will not sell the property to anyone else, and the optionor will sell it to the optionee, if the optionee so chooses, under the terms and conditions of the option contract.
- It must state how long the **option period** is; if not, a court will require the optionor to make the option period for a "reasonable time." (The typical option period is often six months. Option periods cannot be "forever," or even be extended indefinitely.)
- It must clearly state the sales price of the property, or the way in which the price will be determined, if the optionee chooses to purchase the land during the option period.
- It must comply with the **statute of frauds**, which means it must be:
 - Written
 - Signed by the optionor

In addition to these elements, an option contract must clearly state any other terms or conditions that apply to the optionee's exercise of the option to purchase the property. For example, the optionee might, under the contract terms, be required to exercise the option only by written notice to the optionor, or the optionor's attorney.